ROBINSONS LAND CORPORATION

UGF, ADMINISTRATION OFFICE, ROBINSONS PLACE ANTIPOLO, SUMULONG
HIWAY COR CIRUMFERENTIAL ROAD, ANTIPOLO CITY
TELEPHONE NUMBER: +63.2.942.2631 FAX NUMBER: +63.2.942.2638

January 10, 2022

Mr. Adrian Dimacali
Director
MARY GRACE FOODS, INC.
Mary Grace Cafe
2985 Mahogany St., United Paranaque 2
Paranaque City

LEASE PROPOSAL

Dear Mr. Dimacali,

We are pleased to offer you a space at **Robinsons Place Antipolo Expansion.** Please find below the terms and conditions for the lease of the said space.

TRADENAME : Mary Grace Cafe
NATURE/DESCRIPTION OF ESTABLISHMENT : Restaurants: Casual Dining
LOCATION : Lower Ground 114,115, 116, 117, 118-A,118-B

LEASE TERM
Commencement Date : May 01 2022 or first day of operation whichever comes first.
Termination Date : Apr 30 2027
Turnover Date : Feb 1 2022 subject to final confirmation from the Lessor

Note: AC to be provided by Lessee

APPROXIMATE FLOOR AREA : 367.82 sqm

PERCENTAGE (%) RENT Six Percent (6.00%) rent based on Actual sales or Minimum Monthly Gross Sales, whichever is higher.

Year	Start Date	End Date	Min. Rent (Php)*	Min. Monthly Gross Sales/sqm*
1	05/01/2022	04/30/2023	1,005.00	16,750.00
2	05/01/2023	04/30/2024	1,055.00	17,583.33
3	05/01/2024	04/30/2025	1,108.00	18,466.66
4	05/01/2025	04/30/2026	1,165.00	19,416.66
5	05/01/2026	04/30/2027	1,225.00	20,416.66

OTHER EXPENSES CHARGEABLE
Common Usage Expenses (CUSA) : Php 120.00 /sqm/mo*.
Security, Maintenance, Electricity, and all other Common Area Expenses

Airconditioning Charges

Rate per Tonnage	No. of Tonnage	Total Amount
Php 1,800.00/TR	31	Php 55,800.00 /mo.*

Pest Control, cashier's salary, advertising and promotional and other expenses individual services/utilities : at reasonable rates/amount to be determined by the LESSOR*

Advertising and Promotional Expenses/Marketing Support Fund : Php 20,000.00 /year*

* Subject to VAT

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- All amounts herein stipulated may be subject to increase whenever the cost of any of the electricity, labor, water or common area and aircon-related expenses increase.
- The discounted monthly rate shall be the basis if the rent **is paid within the first 7th calendar days of the month** to which the rent corresponds. All amounts herein stated are exclusive of **Value Added Tax (VAT), Documents Stamps Tax and other taxes** which shall be for the account of the Lessee.
- Should Lessee decide to extend its operation beyond the regular mall operating hours, Lessee will be charged subsequent aircon / CUSA and other utility charges at a rate to be determined by the LESSOR. Lessee will have to secure the formal consent of the Lessor for its extension of operating hours.
- Should Lessee decide to install additional Fan Coil Units (FCU) in their area, an additional charge of Php2,150.00 ton/month (subject to increase) shall be billed to cover for the chilled water to be provided to the Lessee.

Repairs & Maintenance of Leased Premises, Equipment, Furniture	: Lessee's Account
Expense for Individual Utilities	: Lessee's Account
PC-POS	: Lessee's Account
PC-POS Cabling Cost	: Php 5,500.00 * For Lessee's Account *subject to change
SECURITY DEPOSIT	: Two Million Two Hundred Seventeen Thousand Nine-Hundred Fifty-Four Pesos and 60/100 (Php 2,217,954.60) (6 Months Regular Rent)

The Security deposit shall be forfeited in our favor upon a) cancellation of our agreement after you have signed and confirmed this Lease Proposal; b) failure to occupy the leased premises within 30 days from effectivity of the lease; c) termination of the contract for whatever reason prior to expiry date of the term or d) failure to commence store construction as stipulated cancellation clause.

It shall be understood that the security deposit shall only be refunded without interest after the expiration of the term of this lease and after you have satisfactorily vacated and completely delivered the leased premises to us, less whatever amounts you may owe us which may be applied against the security deposit.

INSURANCE **: CONTRACTOR'S ALL RISK INSURANCE**

Payable to Prudential Guarantee & Assurance Corp. or any RLC accredited bonding companies. Contractor's All Risk Insurance for bodily injury and property damage to third party for the duration of the construction required.

CONSTRUCTION DEPOSIT **: LESSEE'S ACCOUNT - Php 170,000.00**

1. Construction/Renovation Deposit - Php 80,000.00

- If there is an existing meter, actual power & water consumption charges
- If there is no existing meter, theoretical charges only
- Housekeeping services - cleaning of common area affected by the construction
  Plywood fencing - existing storefront (if applicable)
- Uncertified construction violation penalty (if applicable)
- Other construction damages that may occur (if applicable)
- Security Guard on Post Fee - Rate to be determined by Mall Operation. Applicable for renovation /construction works that would be rendered after mall hours.

2. Power/Water Meter Deposit - Php 75,000.00

- Actual amount may vary depending on the type of the meter to be installed. Excess payments to be refunded upon completion of tenant pre-operational checklist clearance. Meter deposit withheld refundable upon termination of Contract of Lease

3. Performance Cash Bond - Php 15,000.00

- Refundable upon faithful compliance of all pre-operating requirements.

Note:

A temporary clearance to operate may be given to tenants with minor unrectified construction violations. However, if violation/s are not rectified thirty (30) days after the date of issuance of temporary clearance, RLC will take over and rectify the violations and the rectification cost shall be deducted from the Performance Bond.

Other details:

Construction deposit and other related items for refund will be processed by Corp. Property Planning Dept. (CPPD) ONLY after fully accomplishing the Tenant Pre-Operational Checklist (TPOC) in coordination with the Mall Architect in-charge. Net amount of all the charges shall be refunded by check or application to future charges in the name of the TENANT as indicated in the RLC Contract of Lease ONLY.

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INTEREST/PENALTIES ON LATE PAYMENT:
All unpaid charges except space rental after due date shall be subject to an interest rate of three percent (3%) per month. The space rental shall also be subject of the same interest rate if it remains to be unpaid after the calendar month the rent pertains to. In addition, the LESSOR, at its opinion, may impose penalty of five percent (5%) per month, on all unpaid charges including interests for accounts over 60 days past due until full payment date.

CANCELLATION:
Should you fail to commence operation within thirty **(30) days** from effectivity of the lease, we shall have the right to unilaterally cancel this agreement and all deposits received by us will **not** be refunded. We therefore reserve the right to offer the same premises to a third party.

LEASE CONTRACT
This Lease Proposal, together with the attached General Terms and Conditions (Annex "A" hereof), embodies all the terms and conditions agreed upon by the parties and shall be binding upon them. The LESSEE or his/her representatives certify that they have read this or caused to be read to him/her, inclusive of its Annexes, and that he/she has fully understood the same.

Please be advised that we are also entertaining other parties to the space and eventual awarding of the space will be on a **first confirmed - first reserve basis** upon receipt of signed Lease Proposal and payment of Security Deposit.

Should our proposal be acceptable to you, kindly indicate your conformity by affixing your signature on the space provided below and return all copies of the same to us on or before January 17, 2022.

Very truly yours,

Hannah E. Narte
Lease Manager

C O N F O R M E:
MARY GRACE FOODS, INC.

17 Jan. '22

By: _____
Mr. Adrian Diamcali
Director

Noted By:

Joretta Pimentel - Jardeleza

Ma. Socorro D.L. Alvarez
Treasury Director

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ACKNOWLEDGEMENT

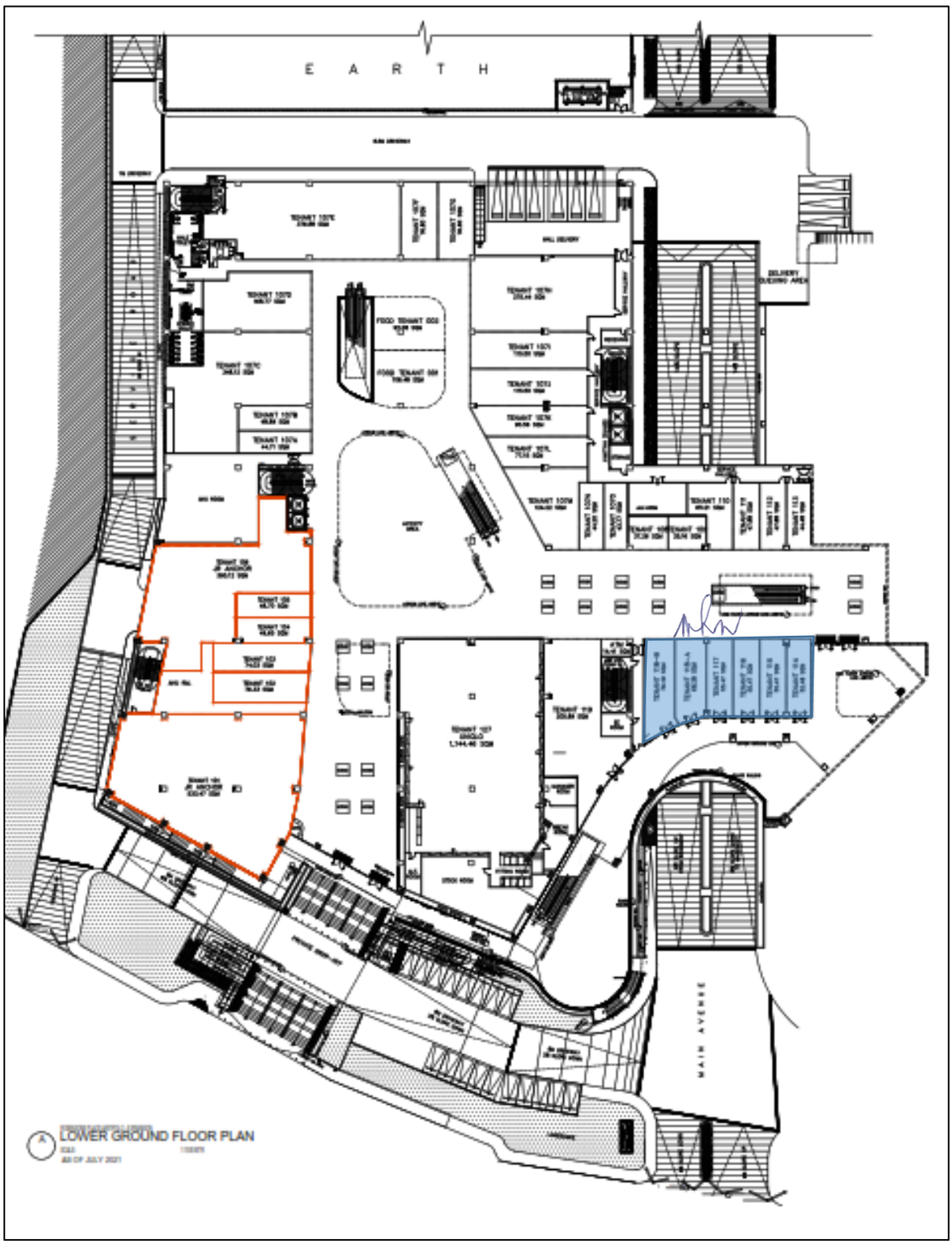
REPUBLIC OF THE PHILIPPINES
(QUEZON CITY)S.S.
X----------X

SUBSCRIBED AND SWORN TO ME this _____ day of _____ 20 ____, affiants showing the following proof of identification

NAME	**ID PRESENTED**
1. Robinsons Land Corp.	
2. Joretta Pimentel - Jardeleza	TIN 121-854-546
3. Ma. Socorro D.L. Alvarez	TIN 175-884-602
4. Mr. Adrian Dimacali	

WITNESS my hand and seal.

Doc No. _____
Page No. _____
Book No. _____
Series of 20____.



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ROBINSONS LAND CORPORATION
(Long Term Lease)

ANNEX "A"

GENERAL TERMS AND CONDITIONS

In consideration of the foregoing premises, the payment of rentals and other charges herein stipulated and in compliance with the covenants, conditions and restrictions herein imposed as to the use and occupancy of the property, on the part of the **LESSEE** to be paid, observed and performed, the **LESSOR** hereby **LEASES** and **DELIVERS** unto the **LESSEE** in good and tenantable condition the aforesaid premises subject to the following stipulations:

LEASE TERM & DELIVERY OF LEASED PREMISES

1.1 Term. The term may be extended at the **LESSOR's** sole option by written authority secured prior to the expiration of the original period and upon such terms as may be mutually agreed upon by the parties. The term, however, may be shortened at the sole option of the **LESSOR** by service of a prior Ninety (90) day written notice to the **LESSEE**.

Upon the expiration of the term of this lease, or after the termination or cancellation of this Contract for any cause or reason whatsoever, and the **LESSOR** shall allow the **LESSEE** to remain in possession of the premises, the term of the lease is monthly and shall be subject to the same conditions, covenants, stipulations, and restrictions specified in this contract.

However, should the **LESSEE** hold over and remain in possession of the premises after the expiration of the term of this lease, or after the termination or cancellation of this Contract for any cause or reason whatsoever, without any written renewal of the same, the term of the lease shall be monthly and the **LESSEE** shall be obliged to pay a monthly rent equivalent to one hundred fifty percent (150%) of the highest monthly rental and other charges paid during the entire term of this lease without prejudice to the right of the **LESSOR** to file an ejectment suit to compel recovery of the premises and recover whatever damages it may suffer because of the unlawful detainer.

If the **LESSEE** is an authorized franchise holder carrying business under a trade name, the **LESSEE** shall provide the **LESSOR** a copy of that franchise agreement and it shall be understood that the grant of franchise is, among others, a reason for the grant of this lease. The termination or cancellation of the franchise for any reason whatsoever shall entitle the **LESSOR** at its option to terminate this lease regardless of the term of this Contract without prejudice to any other rights to the **LESSOR** under this Contract.

1.2 Delivery of Leased Premises. The **LESSOR** shall deliver to the **LESSEE** physical possession of the leased premises in "as is" condition on the date specified by the **LESSOR** for the delivery of the leased premises. On or before the commencement of the lease term, the **LESSEE** shall complete any and all works necessary to render the leased premises suitable for use in accordance with the plans and specifications approved by **the LESSOR**.

If the **LESSOR** is unable to transfer physical possession of the leased premises to the **LESSEE** due to (i) the refusal of a prior lessee to vacate the leased premises notwithstanding the termination of the lease term agreed upon between such prior lessee and the **LESSOR**, or (ii) any other reason beyond the control of the **LESSOR**, the **LESSOR** shall not be subject to any liability for the failure to deliver the leased premises to the **LESSEE**. Neither shall such failure affect the validity of this lease or the obligations of the **LESSEE** hereunder; provided that, the commencement of the lease term shall be deferred to a date to be determined by the **LESSOR**

LEASE AREA

2. The blow-up print copy of lease area is hereto attached as Annex "B" and made an integral part hereof shall serve as basis for the total floor area in computing the Security Deposit and Monthly Rental Billing. However, in case of discrepancies between the area per blow-up print and actual area measurement the latter shall prevail subject however to the following guidelines:

- FOR LEASABLE AREAS 50 SQM AND BELOW – If the difference is +/- 1 sqm, no adjustments will be made to the area stipulated in the lease agreement
- FOR LEASABLE AREAS GREATER THAN 50 SQM UP TO 100 SQM - If the difference is +/- 2 sqm, no adjustments will be made to the area stipulated in the lease agreement
- FOR LEASABLE AREAS GREATER THAN 100 SQM UP TO 500 SQM - If the difference is +/- 3 sqm, no adjustments will be made to the area stipulated in the lease agreement
- FOR LEASABLE AREAS GREATER THAN 500 SQM - If the difference is +/- 5 sqm, no adjustments will be made to the area stipulated in the lease agreement

SUBMISSION OF PLANS

3. Within the time provided for by the **LESSOR**, **LESSEE** shall submit the construction plan for the proposed installations, improvements, lighting fixtures, floor covering, any trade fixture, signs, lighting, plumbing fixtures, installation of electrical outlets for electrical appliances/equipment, telephone and teletype and other installations required by the nature and purpose of its business, and only after receipt of **LESSOR's** prior written approval of the said construction plan shall **LESSEE** install and maintain said installations and improvements at his own expense. Any subsequent additions, alterations or changes to the approved plans shall be made only upon prior written consent of the **LESSOR**. The **LESSOR** reserves the right to refuse any alterations, additions or improvements requested by the **LESSEE** if in **LESSOR's** opinion, there is just cause to warrant such refusal.

The **LESSEE** shall ensure and warrant that all proposed installations and improvements contained in the proposed construction plan shall not alter or adversely affect the strength and general structure of the building or damage the leased premises, and that the other conditions of this contract are not thereby violated.

The **LESSEE** shall also be responsible for securing all the necessary government permits or licenses as well as pay all taxes necessary for its operations. The **LESSEE** shall furnish the **LESSOR** copies of said permits and licenses or any renewal thereof fifteen (15) days from the start of the **LESSEE's** business and every renewal date thereof as required by law. The **LESSEE** must make a declaration of his/its maximum electrical load and enumerate thereat, in the checklist provided by the **LESSOR**, the electrical fixtures, appliances, equipment, facilities, etc.

The **LESSEE** shall at all times, cooperate with the **LESSOR's** agent / representative in **LESSOR's** regular inspection of the **LESSEE's** electrical load. For this reason, the **LESSEE** shall use only duly licensed electricians who must ensure that the additional load of current shall be within the capacity of the main switch of the panel on the corresponding floor. The **LESSEE** further binds himself to comply strictly with the requirements of the Fire Department and/or Government Electrician. Any violation of this provision shall make the **LESSEE** liable for damages which may result directly or indirectly therefrom.

It is further agreed that all such installations, improvements, except the movable furniture put in at the expense of the **LESSEE**, shall remain upon, and be surrendered with the premises as part thereof at the termination of the lease without compensation to the **LESSEE**, and without prejudice to the right of **LESSOR** to require the **LESSEE** to restore the premises to its original tenantable condition.

RENT

4. The monthly rental rate shall be payable at the **LESSOR's** office without need of demand. Without prejudice, however, to all other remedies of the **LESSOR** under the contract, all unpaid rentals and other charges which are overdue and remain unpaid shall be subject to interest charges as provided herein or the maximum prevailing interest rate set by law or commercial practice, whichever is higher, as may be determined by the **LESSOR** from the date of delinquency until full payment thereof.

The interest charges shall also apply to any and all arrearages of the **LESSEE** including, but not limited to unpaid rentals, airconditioning charges, common usage charges, reimbursement for development costs and such other costs as may be determined by **LESSOR.**

Payment of rentals shall be made either in cash or check made payable in the name of Robinsons Land Corp. The receipt of a check in payment of the rentals due hereunder shall not produce the effect of payment until the amount thereof is actually received/encashed. Notwithstanding pre-termination of this contract by the **LESSEE**, its obligations to pay rent for the remaining term of the contract shall remain valid, and said obligations shall become immediately due and demandable.

SPECIFIC PROVISION APPLICABLE TO TENANTS WITH PERCENTAGE RENT

5. If the monthly gross sales is lower than the minimum monthly gross sales for any period, the latter shall be the basis for computing the percentage rent. It is a condition of this lease that the **LESSEE** must keep and maintain monthly gross sales higher than the minimum monthly gross sales. If the percentage rent based on actual monthly gross sales is equal to or lower than the minimum monthly percentage rent for any three (3) consecutive months, the **LESSOR** shall have the right to cancel or terminate this lease as though the **LESSEE** were in default.

The term "Gross Sales" as used herein is hereby defined to include the total amount of all sales and other revenue from all businesses conducted in, upon or from the premises, including businesses conducted by the **LESSEE** or any of its employees or agents, and whether such sales be evidenced by cash, check, credit, credit card,

charged account, exchange or otherwise, without regard as to whether or not collection is made of the amounts for which credit is given, and shall include, without limitation, the total gross amounts received or accrued for the sale of food, beverages, goods, wares and merchandise, the amounts received or accrued for services performed on, at, or from the premises, for equipment and other rentals, and the amounts of all fees and similar payments received or accrued for business conducted in, upon or from the premises together with the amount of all gift certificates or orders taken or received at the premises, whether or not such gift certificates or orders be filled or taken from the premises or elsewhere, and whether such sales be made by means of merchandising or other vending devices, or machines and any such other device in or upon the premises. Any transaction on any installment basis, including without limitation, any "lay away" sale, conditional sale or in any other fashion involving the extension of credit or deferral of payment shall be treated as a sale for the full price at the time of the transaction, irrespective of the time of payment or when title passes. If any one or more departments or other divisions of **LESSEE's** business should be conducted by any person, firm or corporation other than **LESSEE**, then there shall be included within the term "gross sales" all of the gross sales of such departments or divisions, in the same manner and with the same effect as if the business or sales of such departments and division of **LESSEE's** business had been conducted by the **LESSEE** itself. Gross sales shall further include any sale of any product or service advertised by **LESSEE** as being available at the premises, whether made at or off the premises; and , any sale of any product or service by any tenant or employee, agent or independent contractor of **LESSEE**, employed at or from the premises or who is supervised or directed by **LESSEE** or any employee or agent of **LESSEE** at the premises. It is the purpose hereof to include the sales of any "outside" or travelling salesman of **LESSEE**, including jobbers and independent agents, when such sales persons are supervised by or must report their activities and sales to **LESSEE** or any employee of **LESSEE** at the premises. "Gross Sales" shall not be discounted or reduced on account of coupons or other promotional evidences of credit received by **LESSEE** towards the purchase, lease or exchange of merchandise or services, nor shall there be deducted any fee, service charge or discount paid to any credit card or other credit extending agency.

However, there shall be deducted from gross sales the lesser of the sales price or credit allowed in lieu of merchandise returned by customers for exchange or reimbursement, provided that the sales price of the merchandise delivered to the customers in any exchange shall be included in gross sales. Gross Sales shall not include any amount of any sales, use, excise or gross receipt tax imposed by any municipal or governmental authority directly on sales collected from customer's, provided that the amount thereof is added to the selling price or absorbed therein and actually paid by **LESSEE** to such government authority. **LESSEE's** accounting to **LESSOR** as required herein shall specifically set forth the amount of any such tax as well as the nature thereof.

ACCOUNTING AND REPORTING OF SALES

6. Within the first seven (7) calendar days after the end of each calendar month beginning on the first month of the store operations, the **LESSEE** shall furnish and deliver to the **LESSOR** in writing a statement certified by the **LESSEE** or its authorized agent setting forth the total gross sales made by the **LESSEE** in, upon or from the premises during each preceding month. In addition, within thirty (30) days after the end of each calendar year, the **LESSEE** shall furnish the **LESSOR** a statement certified by the **LESSEE** or its agents, setting forth the total gross sales for the year itemized in months, made in, upon or from the premises during the preceding year. The **LESSEE's** failure to provide any required accounting statement shall be material breach of this lease which shall entitle the **LESSOR** to terminate this lease upon giving notice to cure or quit as established in this Contract, in addition to any other right or remedy, the **LESSOR** might have under this contract or at law or equity.

All transactions must be covered by appropriate sales invoices and registered in an accepted recording machine to be provided for by the **LESSEE** subject to **LESSOR's** specification. Such recording machine shall contain lock-in cumulative tapes with cumulation capacity satisfactory to the **LESSOR**. The cash register tapes and all supporting invoices and documentation shall be preserved for examination by auditors. In case the **LESSOR** is not satisfied with the internal control set-up and the **LESSEE** refuses to change its system this question shall be submitted for arbitration by an independent certified public accountant acceptable to both parties. The costs and expenses of arbitration shall be shared equally by both parties. The decision of the arbiters shall be final, binding on both parties and unappealable to any court of law. The **LESSEE** shall allow the **LESSOR** or its authorized agents to inspect all sales and whatever ledger accounts and supporting papers the **LESSOR** deems necessary to accurately determine the **LESSEE's** income from sales and other income of whatever nature per month.

The **LESSEE** shall maintain books of accounts and other business records, and preserve the same for purposes of audit. In this regard, the **LESSEE** shall coordinate with **LESSOR's** Auditing Department in order to set up a compatible accounting system. In case the **LESSEE** has other branches, it shall keep separate records of its sales derived from the leased premises such as receipts and other books of accounts.

The **LESSEE** shall keep all sales invoices, sales summaries, official reports, cash register tapes, books of accounts such as but not limited to the general ledger, cash receipt books and sales books, supporting papers and other business records the **LESSOR's** authorized representatives may deem reasonably necessary to determine the **LESSEE's** gross sales. These records shall be preserved for a period of three (3) Years.

In the event the **LESSOR** decides to adopt an electronic recording and/or processing system to monitor the sales and operations of the tenants in the Complex, the **LESSEE** agrees that it shall use or install at its expense on its leased premises such necessary equipment, communication cables, generators and such other items as may be required by the **LESSOR** to be connected to the system, and it shall adopt such recording and documentation methods and procedures as shall be compatible with such system. The **LESSEE** further agrees to subscribe and adhere at all times to the prescribed preventive maintenance scheme for the repair and servicing of the machine to ensure continuous and uninterrupted use of such sales recording equipment.

The **LESSEE** is responsible for the faithful and accurate recording of all transactions. Any willful misrepresentations or dishonesty in the invoicing or registering in cash register of any transaction by the **LESSEE's** agent or employee shall be a ground for termination of this lease.

The **LESSEE**, subject to a flat rental, shall similarly observe the foregoing accounting and reporting requirements.

The **LESSOR** at its option may provide its own personnel as invoicer or cashier and the **LESSEE** shall reimburse the **LESSOR** for the salaries and all related employment costs of said invoicer or cashier. Moreover, the **LESSEE** shall allow the **LESSOR** or any of its duly authorized representative full unhampered access to the cash register or other equipment or device and records to monitor or make a daily reading of the sales at any time it deems convenient and reasonable during business hours.

The Rent under this Contract is strictly a confidential matter and the **LESSEE** shall not include in its invoices to customers any reference to that rent payable.

NATURE AND USE OF THE LEASED PREMISES AND USE OF COMMON AREAS

7.1 Use. – The leased premises shall be used exclusively as agreed between the parties and no other under the name and style mentioned in this Contract. The use of the leased premises other than what is previously agreed upon, whether temporarily or permanently, must be with the prior written consent of the **LESSOR** otherwise the **LESSOR** may at its option consider this Contract of Lease rescinded, increase the rent or compel the **LESSEE** to stop the new activities. The **LESSOR** reserves the right to permit identical or similar uses by other tenants of other spaces within the Complex. In the event of renovation, expansion or other corporate plans of the **LESSOR**, the **LESSEE** recognizes the right of the **LESSOR** to reassign, relocate, move and transfer the premises under lease to another area or space in the Complex comparable to the present one without the **LESSOR** incurring liability therefore. The **LESSEE** agrees to abide by this provision upon sixty (60) days notice to the same.

The **LESSEE** shall warehouse only such goods in the leased premises in line with the approved purpose of business. No auction, fire or bankruptcy or closing-out sale may be conducted in the leased premises without the written consent of the **LESSOR**. The **LESSEE** shall use for office, clerical or other non-selling purposes only such space in the premises as may from time to time be reasonably required for **LESSEE's** business in the premises but not to exceed ten (10%) percent of the total area of the premises.

The **LESSEE** shall, prior to or at the commencement of its occupancy of the premises and at anytime thereafter, take preventive measures as may be deemed necessary to forestall any damage to the leased premises. The **LESSEE** undertakes to continue paying its monthly rent to the **LESSOR** should any alterations, additions, improvements, installations, or repairs within the premises be undertaken.

The use and occupancy by the **LESSEE** of the leased premises shall include jointly with other lessees, the use of common areas adjacent to the leased premises and portions thereof in connection with others, necessary as entrance to and exit from the leased premises, public toilet, and other facilities as may be designated from time to time by the **LESSOR**, subject to reasonable rules and regulations for the use thereof as prescribed from time to time by the **LESSOR**. The lease does not extend to the outside portions of the building corresponding to or opposite the leased premises nor to the corridors and hallways within the building and no merchandise or property of the **LESSEE** shall be placed therein. Without prejudice to the rights of the **LESSOR** in this Contract, the **LESSOR** may remove or cause the removal of any object found outside of the leased premises as described herein with costs chargeable to the **LESSEE**.

7.2 EXCLUSIVE RIGHTS OF LESSOR – The grant of this lease shall not prejudice or adversely affect the following exclusive and absolute rights of the **LESSOR** to the extent specified below,

a) To provide for the free and uninterrupted passage and running of water, drainage, electricity, telecommunications or other public utilities or services through the installation of conduits, pipes, wires, cables or ducts as are now or may be hereafter be installed in, on or under the leased premises, serving or capable of serving the Complex or any adjoining property, and to enter the leased premises to inspect, repair maintain such conduits, pipes, wires, cables or ducts;

b) To erect, alter or consent to the erection or alteration of any Complex located or to be located on any adjoining or neighboring property, notwithstanding that such erection or alteration may diminish the access of light, view or air enjoyed by the leased premises, or to deal with such neighboring or adjoining property as the **LESSOR** shall see fit;

c) To name or rename the Complex with any such style or name and from time to time to change, alter, substitute or abandon any such name, without compensation to the **LESSEE** or the other tenants of the Complex; provided that, the **LESSOR** shall give the **LESSEE** not less than two (2) months' prior written notice of the **LESSOR's** intention to do so;

d) To improve, change, alter, extend, reduce, add or otherwise deal with the arrangement, design or decoration of the Complex and the **LESSEE** shall not hold the **LESSOR** liable for any resulting disturbance or discomfort arising out of such development work or improvement;

e) To make, impose, adopt, supplement, abolish or amend such regulations as it may consider necessary for the management, operation or maintenance of the Complex;

f) To undertake the improvement of the Complex or any development work in an adjoining lot, within the vicinity area of the Complex.

CHARGES FOR COMMON USAGE AREA

8. The **LESSEE** shall pay the **LESSOR** a rate as agreed between the parties, which rate shall be subject to review and adjustment to reflect actual expenses and which charges in no case shall be paid later than seven (7) days after the end of each calendar month to which charges correspond. These charges shall cover the **LESSEE's** share of the maintenance and operating costs of the common areas of the Complex, and the common facilities, utilities and services as the **LESSOR** may solely and reasonably determine. These shall also include but shall not be limited to advertising and promotions costs, administrative and overhead expenses, insurance, janitorial, sanitation, dishwashing services, garbage fees, security services, cost of repair and maintenance of equipment and facilities, light of common areas, costs of air conditioning, as well as such other expenses as the **LESSOR** may deem necessary.

Any temporary interruption in the facilities or services mentioned shall not be deemed as an eviction of the **LESSEE**, nor shall it relieve the **LESSEE** of any obligation under this Contract including neither the payment of rental nor the abatement thereof nor subject the **LESSOR** to any liability arising therefore. However, the **LESSOR** shall endeavor to use every effort and diligence to restore promptly the facilities and services to their proper functions.

SECURITY DEPOSIT

9. Upon execution of this Contract, the **LESSEE** shall put up with the **LESSOR** a Security Deposit in an amount agreed between the parties herein, which amount shall be increased with the corresponding rental increase to serve as security for the full and faithful compliance of each and every term, provision, covenant, and condition of this lease and not as any prepayment of rent. The security deposit shall not form part of the **LESSOR's** general deposit and the **LESSEE** shall not be entitled to any interests. The Security Deposit shall remain intact during the entire term of this lease and shall not be applied as payment for any monetary obligations of the **LESSEE** under this Contract. If the **LESSEE** should fully and faithfully perform every provision of this lease, including payment of any and all obligations due to the **LESSOR**, whether arising from this contract or from any other contracts/agreements with the **LESSOR**, the security deposit shall be refunded to the **LESSEE** after the expiration of the lease term upon the **LESSEE's** satisfaction of all monetary obligations to the **LESSOR** and after the **LESSEE** shall have completely and satisfactorily vacated and delivered the leased premises to the **LESSOR**.

In the event the **LESSEE** terminates this Contract or its renewal before the expiry date for whatever reason, or, in case the **LESSEE** should hold over and remain in possession of the premises after its termination or cancellation without any written renewal of this lease, or for cases of abandonment, or non-operation of the premises, the security deposit shall be automatically forfeited by the **LESSEE** in favor of the **LESSOR**. However, the **LESSEE's** liability for any breach of this contract or for any obligation for the leased premises shall not be limited to the amount of the said security deposit.

OPERATION OF THE LESSEE

10. **a)** The **LESSEE** shall operate the leased premises one hundred percent (100%) during the entire term of the Contract and its renewal, with due diligence and efficiency so as to produce the maximum gross sales possible by such manner of operation. The **LESSEE** shall conduct its business in the leased premises during the days and hours fixed by the **LESSOR**.

The **LESSEE** further agrees that it shall follow the official store hours of the Complex. The **LESSOR** shall impose a penalty of Two Pesos per square meter per hour (P2.00/sqm/hr) for unexcused late opening and/or early closing of store operations accumulated in a month's time. Computation shall be done cumulatively and a fraction of sixty (60) minutes shall be computed on a pro-rata basis. The rate of penalty herein stipulated may increase as may be determined by the **LESSOR**.

The **LESSEE** further agrees that it shall have at all such times upon the premises sufficient merchandise and number of adequate personnel to serve the patrons thereof, and will generally employ its best efforts and abilities as may be reasonably necessary to produce the maximum return to the **LESSOR** and **LESSEE** and help maintain a high reputation for the Complex. The **LESSEE** shall keep the display windows and signs, if any, in the leased premises well-lighted during such reasonable evening hours as shall from time to time be required by **LESSOR**, unless prevented by causes beyond the control of the **LESSEE**.

b) Closure or non-operation for any cause without the prior written consent of the **LESSOR,** other than force majeure or acts of God, shall be a material breach of this Contract and the **LESSOR** shall impose a penalty of Ten Pesos per square meter per day (P10.00/sqm/day) for said closure or non-operation, without prejudice as to any other causes of action as may be appropriate and warranted under this Contract and under the law. The rate of penalty herein stipulated may increase as may be determined by the **LESSOR**.

In case of failure to operate for a continuous period of one (1) month from commencement of the lease term, the **LESSOR** shall be entitled to the remedies stated herein.

SIGNS AND ADVERTISEMENTS/ADVERTISING AND PROMOTIONAL EXPENSES

11.1 The **LESSEE** shall put up and maintain at its own expense the required business sign(s), the size, color and design of which shall be determined and indicated in writing by the **LESSOR**, the same to be installed by the **LESSEE** at the designated place(s) upon commencement date of the **LESSEE's** business. Failure of **LESSEE** to install the required sign(s) within the period specified shall give **LESSOR** the right to install the proper sign(s) at the **LESSEE's** cost and expense.

The **LESSEE** shall not affix, hang, inscribe or paint any notice, sign, streamer or other advertising medium within or outside the premises, without the prior written approval of the **LESSOR.** The **LESSOR** shall remove and/or destroy summarily any such unauthorized sign or materials which may be within or outside the premises in violation of this provision without incurring any liability whatsoever. The **LESSEE** shall abide by the policies, rules and regulations, regarding sales promotions as may be promulgated by the **LESSOR**.

The **LESSEE** shall use as its advertised business address the name and address of the Complex. The **LESSEE's** trade name set out in this Contract shall not be changed without the **LESSOR's** prior written consent. The **LESSEE** agrees that the **LESSOR's** name or the name of the Complex shall not be used in any confusing, detrimental or misleading manner and upon termination of this lease. The **LESSEE** shall cease to use the **LESSOR's** name in any manner.

11.2 In order to promote the business in the Complex where the leased premises is located, the **LESSOR** may conduct from time to time advertising and promotional activities including inaugural activities which it may consider appropriate and the **LESSEE** agrees to share with all the other lessees in the Complex in the costs and expenses of such advertising and promotional activities at a rate or in an amount specified by the **LESSOR**. The **LESSEE's** share shall be paid on the date specified in the applicable statement of account.

AIRCONDITIONING

12. Except to the extent that the same may be separately metered, supplied to the premises, or otherwise agreed upon this contract, the **LESSOR** shall endeavor to furnish to the premises during reasonable hours or generally recognized business days, as and subject to the rules and regulations for the operation of the Complex, centralized air conditioning service for the comfortable use and occupation of the premises at a rate agreed upon in this contract. If in the **LESSOR's** reasonable judgment it would be necessary to separately meter the premises for air conditioning services, the **LESSOR** may arrange for the same and the **LESSEE** shall pay all costs thereof. The **LESSEE** as well as all other tenants are prohibited from installing and maintaining separate air conditioning units or systems, other than those previously agreed upon by the parties, except if in the **LESSOR's** judgment, the premises require an air conditioning system separate from that provided by **LESSOR** and written permission to install such separate air conditioning system is secured from the **LESSOR**. The **LESSEE** shall bear all costs and expense thereof.

INDIVIDUAL SERVICE / UTILITIES

13.1 Regular Charges. The **LESSEE** shall pay or cause to be paid, prior to delinquency, all necessary and applicable charges for water, electricity, airconditioning or other services or utilities, used, rendered or supplied in connection with the **LESSEE's** possession of the premises, together with any assessment of surcharges in respect thereto and except when the same is furnished by the **LESSOR**, shall contract for the same in its own name and shall protect the **LESSOR** and the premises from any other charges. The **LESSOR** may shut off all utilities to the premises obtained by or through the **LESSOR** at any time after the **LESSEE** has failed to pay the sums due to the **LESSOR** therefore and the **LESSOR** has given the **LESSEE** proper notice to cure such default or vacate the premises and the **LESSEE** has failed to do so. All costs of utilities and services provided by or through the **LESSOR** shall be allocated to the **LESSEE** as and in the manner provided for the common usage area charges.

Water and power consumption will be charged on meter reading at reasonable rates as detemined by the **LESSOR**. **LESSOR** shall supply the power and water meter but cost of which shall be for **LESSEE's** account. **LESSEE** shall submit a power and water meter deposit which shall be refundable upon termination of the lease contract. In the absence of a meter, a flat rate shall apply as determined by the **LESSOR**. In the event of meter defect, the **LESSEE** shall be liable for any adjustment arising therefrom. If installation of meter on space is not possible, theoretical computation shall be the basis of power/water charges.

13.2 Emergency Power: The **LESSOR** has the option to install and operate a power generator for the Complex. Should the **LESSOR** exercise such option, the **LESSEE** shall pay the **LESSOR** a service charge for the operation and maintenance of the power generator at the rate fixed by the **LESSOR**.

13.3 Emergency Purchase of Water: The **LESSOR** has the option to purchase water from outside sources in case of short supply of water from MWSS. The purchase cost thereof shall be charged to the **LESSEE**'s account based on their actual consumption.

The above charges (13.1, 13.2 & 13.3) shall be paid for by the **LESSEE** on the date specified in the applicable billing advice and shall be subject to the same interest and penalty provided herein .

INTEREST/PENALTIES ON LATE PAYMENT

14. All unpaid charges except space rental after due date shall be subject to an interest rate of three percent (3%) per month. The space rental shall also be subject to the same interest rate if it remains to be unpaid after the next 30 days from the calendar month the rent pertains to. In addition, the management, at its option, may impose penalty of five percent (5%) per month, on all unpaid charges including interests for accounts over 60 days past due until full payment date.

SUBLEASE, TRANSFER OF RIGHTS

15. The **LESSEE** shall not assign or transfer his rights in this Contract, nor sublease or sublet all or any part of the leased premises without the prior written consent of the **LESSOR** and no rights, title or interest thereto or therein shall be conferred on or vested to anyone other than the **LESSEE** without such prior written consent.

It is expressly understood that the **LESSEE** has no goodwill or patronage rights over the leased premises; that such rights belong exclusively to the **LESSOR,** being the owner of the leased premises which forms part of the building; and that the **LESSEE** may not sell or dispose of said goodwill or patronage rights to any person.

ALTERATIONS, ADDITIONS, IMPROVEMENTS

16. The **LESSEE** shall not make any alteration, addition or improvement within the leased premises or in any of the Common Areas or effect the installation of any fixture required by the conduct of its business, without the prior written consent of the **LESSOR**, subject to such terms and conditions as may be imposed by the **LESSOR** as it deems fit. All alterations, additions or improvements made by the **LESSEE** as well as any alteration, improvement, addition or installation in or on the leased premises shall be done in good workmanlike fashion and at the **LESSEE's** cost. All building, architectural, engineering and conceptual plans and specifications for any alteration, addition or improvement shall be submitted to the **LESSOR** for its approval at least thirty (30) days prior to the commencement of work on any such alteration, addition or improvement. The **LESSOR** reserves the right to require the **LESSEE** to use the **LESSOR's** building contractor for any renovation of the leased premises when in the **LESSOR'S** opinion, the proposed renovation adversely affect any of the warranties or guarantees given by any of the contractors of the Building. The approval by the **LESSOR** of such alterations, additions or improvements shall in no event relieve the **LESSEE** from the responsibility of obtaining all the necessary permits and licenses pertaining to such alterations, additions, improvements or installations or from paying the necessary taxes, insurance premium or fees as shall be necessary or appropriate in connection therewith. The **LESSEE** shall give all the notices required and shall comply with all ordinances, rules and regulations issued by governmental agencies and public utility companies having jurisdiction over the same. For purposes hereof, the **LESSEE** shall submit to the **LESSOR** the necessary construction bond prior to the start of any construction or renovation of the leased premises.

All such alterations, additions or improvements made by the **LESSEE**, as well as any alteration, improvement or installation placed in or on the leased premises by the **LESSOR**, except movable furniture and fixtures placed in the leased premises at the expense of the **LESSEE** and removable without defacing or injuring any ceiling, floor, wall or any portion of the Building or the leased premises, shall become the property of the **LESSOR** at the expiry or termination of this lease, and shall remain upon and be surrendered with the leased premises as part thereof without compensation for their value to the **LESSEE**.

ABANDONMENT OF LEASED PREMISES

17. If the **LESSEE** shall abandon, vacate the premises or if the premises should remain unoccupied for a continuous period of five (5) days at any time during the term of this lease, **LESSOR** may lease out the premises to other persons or entities; and, in any event **LESSEE** shall continue to be liable for the monthly rent for the unexpired portion of the term of the lease. The **LESSEE** shall also forfeit in favor of the **LESSOR** the security deposit made by way of damages.

CARE OF THE LEASED PREMISES

18. The **LESSEE** shall, at his expense, maintain the leased premises in a clean and sanitary condition, free from noxious odors, disturbing noises, hazardous defects, inflammable materials or other nuisances. In addition, the **LESSEE** agrees to share in the expense of the periodic cleaning/ fumigation undertaken by a person or entity engaged by the **LESSOR** for this purpose such as but not limited to the kitchen Exhaust Fan, Ducts, Sewers and other Accessories therein. Upon the expiration of the lease, the **LESSEE** shall return the premises and fixtures in as good condition as that in which they were actually found at the beginning of the lease ordinary wear and tear excepted. The **LESSEE** shall not drive nails, screws, hooks or other abutments on or into the walls, frames or other portions of the premises or in any manner deface or damage any part thereof. Any damage caused to the leased premises shall be for the account of the **LESSEE**. Should the **LESSEE** fail or refuse to repair such damage, the same may be repaired by the **LESSOR** for the account of the **LESSEE**. The **LESSOR** shall have the right to require the **LESSEE** to remove any merchandise which **LESSOR** reasonably and in good faith consider to be improper or inappropriate for the general appearance or presentation of the premises.

The **LESSEE** shall repair promptly at his expense any hazardous defects and damage to the premises or any other improvement within the building caused by the **LESSEE's** use, or by the installations or removal of such property, regardless of who is at fault or who caused such damage; and in default of such repairs by the **LESSEE,** the **LESSOR** may undertake the same and the **LESSEE** agrees to pay the cost thereof to the **LESSOR** promptly upon the **LESSOR's** demand thereof. The **LESSEE** shall be responsible for the maintenance and repair of the leased premises including plumbing and electrical fixtures within the premises or those serving the same.

The **LESSEE** must notify the **LESSOR** immediately of any damage to the leased premises, their appurtenances as well as any occupation, usurpation or untoward act being committed, or threatened to be committed, within the leased premises.

No machinery, furniture, effects of other equipment may be brought into or out of the building without the prior written approval of the **LESSOR.**

The **LESSEE** shall maintain the leased premises in a clean condition by utilizing plastic bags for the disposal of both dry and wet garbage. Unless garbage is contained in plastic bags, it will not be allowed to be deposited in the authorized depository for collections.

PROHIBITIONS

19. The **LESSEE** shall not bring into or store in the leased premises anything of highly inflammable nature, explosive materials or install therein any apparatus, machinery or equipment which may cause obnoxious tremors or noise, or expose the leased premises to fire or increase the fire hazard of the building, or any other article which the **LESSOR** may reasonably prohibit nor shall the **LESSEE** install any loudspeaker or device on the roof or exterior walls of the building or on any part of the leased premises or allow disturbing or noisy activities to be carried on therein, it being understood that should the **LESSEE** do so, not only shall the latter be responsible to all damage which such violation may cause the **LESSOR** and/or its other tenants but the **LESSOR** shall, in addition thereto, have the right to cancel this Contract. If the **LESSEE** shall so use the building, or deposit therein any such matter as to result in any increase in the rate of the insurance payable by the **LESSOR**, the increase shall be for the account of the **LESSEE.**

INSURANCE

20. The **LESSEE** shall, at its sole cost and expense, purchase and during the entire term of this lease, keep and maintain any and all improvements on said leased property insured against destruction or damage by fire, earthquake, war and extended coverage risks with such insurance company or companies acceptable to the **LESSOR,** in an amount equal to the maximum insurable value thereof designating both the **LESSEE** and the **LESSOR** as the joint beneficiary, the policy to be assigned and delivered to the **LESSOR** not later than thirty (30) days from the date of this contract and will pay the premiums thereon at the dates and places that the same are payable to insure coverage. In case of loss or damage, all insurance proceeds shall be used for the purposes of restoration or reconstruction of the improvements on the leased premises and the **LESSOR**'s liability shall be limited to such insurance proceeds except when complete loss or destruction shall occur during the last year of the lease in which the event the **LESSOR** shall have the option to call for a renegotiation of the terms of this Contract. It shall also be the obligation of the **LESSEE** to secure at his expense during the entire term of this lease, property insurance coverage over all merchandise, goods and items found inside the lease premises which copy of the insurance policy shall be furnished the **LESSOR** not later than thirty (30) days from the date of this contract.

INSPECTION OF PREMISES

21. The **LESSOR** or its authorized agent shall, by previous notice to the **LESSEE**, have the right to enter the leased premises at anytime to examine the same or make alterations or repairs or for any purposes which the former may deem necessary for the operation or maintenance of the premises or its installations. The **LESSOR** shall be responsible for major repairs which affect the structure of the leased premises or the building. No compensation or claims shall be allowed against the **LESSOR** by reason of any inconvenience, annoyance or injury to the **LESSEE's** business that may arise by reason thereof. During the last three (3) months of the term of the lease, the **LESSOR** have the right to show the leased premises to prospective tenants. During such period, the **LESSOR** may exhibit, where it shall think fit, a notice of offering the leased premises for lease, which the **LESSEE** shall not conceal in any way.

DISTURBANCE

22. Disturbance or discontinuance of the possession of the leased premises on account of repairs, renovations, or any construction made on the premises by the **LESSOR** or for any reasons beyond the control of the **LESSOR** shall confer no right of any kind to the **LESSEE** against the **LESSOR.**

INDEMNITIES

23. The **LESSEE** will indemnify and hold harmless the **LESSOR** from and against any and all claims or demands by the **LESSEE** and third persons for loss of life, injury, loss or damage to property resulting from any accident on the leased premises or occasioned by any nuisance made or suffered on the premises, or by any fire thereon or growing out of or occurring in, upon, or at the leased premises, by the occupancy or use of the premises or any part thereof, whether or not , caused by any act or omission of the **LESSEE,** its agents, contractors and employees, or arising out of any accident on the premises occasioned by any failure on the part of the **LESSEE** or by reason of the **LESSEE**'s violation, non-observance, or non-performance of rules, regulations, ordinances, laws and the condition of this agreement concerning or affecting the premises or the improvements thereon.

OBSERVANCE OF RULES AND REGULATIONS

24. The **LESSEE**, his agents and employees shall observe all rules and regulations of the Complex which the **LESSOR** may from time to time issue with respect to transactions and dealings with the public, the **LESSOR**'s agents, employees and other Lessees.

PARKING AND OTHER JOINT - USE AREAS

25. It is expressly understood that the **LESSEE's** privilege to use parking and other areas dedicated to common use is not exclusive. The privilege of such use by the **LESSEE**, his employees and customers, is not integral part of this lease. It may, therefore, be restricted or regulated by the **LESSOR**.

EXTRAORDINARY INFLATION

26. In case an extraordinary inflation of the Philippine Peso should supervene during the term of this lease or its extensions or renewals, the value of the currency at the time of the establishment of the obligation shall be the basis of payment as provided for in Art. 1250 of the Civil Code of the Philippines. In case of such eventuality, the **LESSOR** shall have the option to adjust the minimum monthly rent accordingly. The **LESSOR** shall exercise this option by giving written notice to the **LESSEE** of the occurrence of the extraordinary inflation coupled with the demand to pay the adjusted rent on the succeeding calendar month after the receipt of notice which in no case shall be more than fifteen (15) days. If the **LESSEE** does not accept the new minimum monthly rent, the lease shall be deemed automatically terminated upon the effectivity of the new Monthly Rent.

STRIKES AND LOCK-OUTS

27. In case there is a strike, lock-out or other labor dispute in the leased premises and there is substantial interference with the operations of the **LESSEE's** business by reason thereof requiring the **LESSEE** to temporarily close its business to the public or if as a result thereof the operations of the other lessees, tenants, or the **LESSOR** are likewise affected, then the **LESSOR** shall have the option to terminate this lease contract. In any event, any strike, lock-out, or other labor dispute that remains unresolved for a period of thirty (30) days shall give the **LESSOR** the right to terminate this contract and forfeit the security deposit of the **LESSEE**. The **LESSOR** without need of resorting to court action can effect termination or rescission of the contract. The **LESSEE** shall also be required to pay the **LESSOR** any incidental cost or expense in hiring additional security guards or in contracting other needed services for the security and welfare of the Complex and of the other lessees.

INJURY OR DAMAGE

28. The **LESSEE** hereby assumes full responsibility for any damage which may be caused to the person or property of third persons while remaining either casually or on business in any part of the leased premises and further binds himself to hold the **LESSOR** free and harmless from any such claim for injury or damage. The **LESSOR** shall likewise be exempted from liability for any injury, damage or loss that may be caused to the **LESSEE,** his employees or personnel while inside the building, whether due to the facilities of the **LESSOR** or otherwise.

The **LESSOR** shall not be liable or responsible for the presence of bugs, vermin, ants, termites or any other insects or pests in the leased premises; for the interruption or failure of water supply and/or electric current; for any article delivered to or left with any of its employees; for any loss or losses that may be suffered by the **LESSEE**, his agents or customers in the leased premises occasioned by theft, robbery or other crimes; and/or for any damage caused by or occasioned by, or arising from the failure of the water supply and electric current, or defects in the plumbing, gas, water or electrical installations, or the bursting, leaking, running or destruction of any kinds of pipe, cistern, tank, wash stand, water closet, drainage or downspout failure in, above, upon or about said leased premises, or for any damages arising from acts or negligence of the **LESSEE** or his agents or any and all other persons.

DAMAGE TO OR DESTRUCTION OF PREMISES

29. Without prejudice to the Insurance clause herein, , in case the leased premises/permanent improvements placed on the premises shall be partially damaged or destroyed, by any cause not covered by insurance, the **LESSEE** shall immediately repair, restore or reconstruct or cause to be repaired, restored or reconstructed said damage or destroyed improvements to the condition thereof immediately prior to such damage or destruction. The failure of the **LESSEE** to complete the repair, reconstruction or restoration to its original condition within thirty (30) calendar days from the occurrence of the loss/damage shall be a material breach which will entitle the **LESSOR** to terminate this lease, unless the **LESSOR** grants an extension.

If the damage is so extensive as to amount virtually to the total destruction of the premises or the permanent improvements, the lease will be deemed terminated after occurrence of the casualty and the rent shall be apportioned to the time of the damage. Notwithstanding the above provisions, if the premises or the building is damaged by fire or other casualty due to the fault or negligence of the **LESSEE** or its servants, employees, agents, visitors or licensees, then, without prejudice to any other rights, remedies or cause of action the **LESSOR** may have against the **LESSEE**, the damage shall be repaired by the **LESSEE** or by the **LESSOR** at the **LESSEE**'s expense, and the **LESSEE** shall be liable to pay the rent.

BREACH OR DEFAULT

30. **a)** Default shall automatically take place without the need of written demand upon the failure of the **LESSEE** to pay or perform any of his obligation during the time fixed herein for the payment or performance of such obligations or, if no time is fixed in this contract, after the period stated in the written demand by the **LESSOR**.

b) Instances of default – the following shall constitute default:

1. Failure of the **LESSEE** to pay its monthly rentals, CUSA, air-conditioning and/or other charges for public utilities on their respective due dates as provided herein;

2. Failure to make any payments or meet any expenditures required of **LESSEE** by the provisions of this lease other than rent, CUSA, and charges of public utilities, such as taxes, assessments, insurance premiums, reimbursement, fees and other costs;
3. Failure to perform any of its obligations within the time prescribed in the notice or in this Contract;
4. Failure to fulfill any other obligations contained in this Contact which involved the performance of an act or construction of a certain work or an obligation to do within the period prescribed in the notice or demand;
5. Abandonment of the premises as stated herein , and
6. Non-operation as stated herein.
7. Even without such breach or default, if the **LESSEE** shall become bankrupt, insolvent or make an assignment for the benefit of creditors or files any proceeding seeking any readjustment, arrangement, postponement or condo nation or reduction of **LESSEE's** debts, liabilities, or improvements as defined in this Contract.

The **LESSEE** agrees that all the provisions herein contained shall be deemed conditions as well as covenants and that if default or breach be made of any such covenants and conditions then this lease, at the discretion of the **LESSOR**, may be terminated and cancelled forthwith and the **LESSEE** shall be liable for any and all damages, actual and consequential, resulting from such default or termination.

The **LESSEE** likewise agrees that failure on the part of the former to settle any and all unpaid obligation in favor of the **LESSOR**, whether arising from this contract or from any other contracts/agreements with the **LESSOR**, shall also constitute default and would produce the same effect as provided herein.

c) If, after due notice has been given to the **LESSEE** of the cancellation or termination of the lease, the latter fails to comply with the **LESSOR's** demand for the return to it of the possession of the premises and/or the payment of the **LESSEE's** accrued rental pursuant to the provisions of this agreement, or in the event the **LESSOR** should exercise its right to enforce its preferred lien on the personal properties of the **LESSEE** existing on the leased premises, or in the event of default or breach by the **LESSEE** of any provisions herein contained, **LESSOR's** remedies are:

1) To open, enter, occupy, padlock, secure, enclose, fence and/or discontinue public utilities and otherwise take full and complete physical possession and control of the leased premises without resorting to court action;
2) To take inventory and possession whatever equipment, furniture, articles merchandise, appliances, etc. may be found therein belonging to the **LESSEE**, unauthorized sub lessees and/or other persons, as security for the payment of the **LESSEE's** obligation under this Contract, and to place them in the **LESSOR's** warehouse for safekeeping, charging to the **LESSEE** the corresponding storage fees, therefore;
3) In case the **LESSEE** or other owners thereof fail to claim said equipment, furniture, articles, merchandise, etc. from storage and liquidate any liability to the **LESSOR** within a reasonable period from the date of the **LESSOR**'s taking possession of the leased premises or of the **LESSEE**'s personal properties, to dispose of or sell said properties in accordance with law and to apply the proceeds thereof to whatever liability and/or indebtedness the **LESSEE** may have to the **LESSOR** plus reasonable expenses for the sale including storage fees, without prejudice to the **LESSOR's** right to recover the deficiency, if any;
4) To declare this Contract cancelled or terminated without resorting to court action and to require the **LESSEE** to immediately vacate the premises without need of court action;
5) Forfeiture of the security deposit by the **LESSEE** in favor of the **LESSOR**; and
6) To continue to hold **LESSEE** liable for rentals and other charges for the unexpired portion of the term of the lease.

For purposes of this provision and other pertinent provisions of this Contract, the **LESSEE** hereby constitutes the **LESSOR** and/or its authorized representative as the **LESSEE's** attorneys-in-fact, and all acts performed by them in the exercise of their authority are hereby confirmed. The **LESSEE** hereby expressly agrees that any or all acts performed by the **LESSOR**, its authorized agents, employees, and/or representative under the provisions of this Section may not be the subject of any petition for Writ of Preliminary Injunction or Mandatory Injunction or any form of injunctive relief in court.

Should the **LESSOR** be compelled to seek judicial relief against the **LESSEE**, the latter shall, in addition to the damages mentioned in the first paragraph of this provision, pay an amount equivalent to 20% of the amount claimed in the complaint, as attorney's fees (with a minimum of P10,000.00), aside from the costs of the litigation and other expenses which the law may entitle the **LESSOR** to recover from the **LESSEE**.

d) Non-waiver in case of Acceptance, Silence – The acceptance by the **LESSOR** of any payment or performance of one or more obligations by the **LESSEE**, arrears in rent or the penalty for late payment, or extensions of payment shall not by itself be deemed a waiver by the **LESSOR** of any breach by the **LESSEE** of any covenant or conditions contained in this Contract. Delay in recovery of possession shall not be deemed as a waiver of the right of the **LESSOR** to recover possession of the premises. No waiver of the **LESSOR** of any its rights under this Contract shall be deemed to have been made unless expressed in writing and signed by the **LESSOR**

e) LESSOR's Remedies Cumulative – Each and all of the remedies given to **LESSOR** in this lease or by law shall be cumulative, and the exercise of one right or remedy by **LESSOR** shall not impair to exercise any other right or remedy.

EXPROPRIATION AND CONDEMNATION

31. If at any time during the term of this lease, the Government or any of its instrumentalities or political subdivision or any public service company, shall expropriate or condemn the leased premises or any part hereof or interest therein for any public use or purpose, then and in every case the **LESSEE** shall whenever requested by the **LESSOR**, deliver the peaceable possession of such portion or portions of the land hereby leased, together with the building or portions of the building thereon as may be affected or taken by such expropriation, and the **LESSEE** shall not, by reason of such expropriation, be entitled to any claim against the **LESSOR** for compensation or indemnity, without prejudice to the rights of the **LESSEE** to claim whatever damage it may be entitled to from the expropriating or condemning authority.

NON-REGISTRATION OF LEASE

32. The parties hereto agree that this lease shall not be registered with the office of the proper Register of Deed, but in the event of sale, transfer, mortgage or disposition of the leased property, the **LESSOR** binds itself to require the transferee or vendee to respect and abide by all the terms and conditions of this Contract.

ASSIGNMENT OF RIGHTS/MORTGAGE/ENCUMBRANCE

33. The **LESSOR** reserves the right to assign and convey or mortgage or otherwise encumber its rights to this lease in favor of any affiliate or subsidiary, to any other party after notice in writing to the **LESSEE**.

LIEN ON PERSONAL PROPERTIES OF THE LESSEE

34. It is agreed that the unpaid rents and charges payable by the **LESSEE** to the **LESSOR** under this Contract shall constitute a lien on all personal properties of the **LESSEE** existing in the leased premises. For this purpose the **LESSOR** is hereby authorized to prevent the removal of said properties from the leased premises, or demand the return from any possessor should they have been removed without the written consent of the **LESSOR**.

It shall be understood that the **LESSEE**, its agents or assigns shall not hold the **LESSOR,** its agents or assigns liable for any actions of the **LESSOR**, its agents or assigns done or caused to be done in pursuance of all the provisions of this Contract.

TERMINATION OF LEASE

35. The **LESSEE** agrees to return and surrender the leased premises at the expiration of the term of this lease in as good condition as reasonable wear and tear will permit and without any delay whatsoever, devoid of all occupants, furniture, articles and movable effects of any kind.. It is expressly understood that all other permanent improvements and fixtures not removable without defacing or damaging the premises as determined by the **LESSOR** shall automatically be owned by it and be surrendered with the premises in good condition without compensation to the **LESSEE**. The **LESSEE** shall repair any damage caused to the leased premises which cannot be accounted for by reasonable wear and tear and restore the leased premises to the condition it was found at the commencement of this lease to the satisfaction of the **LESSOR**. All keys giving access to all parts of the leased premises and/or the Common Areas (as applicable) shall be returned to the **LESSOR**, and all expenses incurred in removing from the leased premises or building, the names, posters, signboards, decoration or advertising matters relating to the **LESSEE**, including any damage caused by such removal, shall be for the account of the **LESSEE**.

PRETERMINATION / CANCELLATION

36. The **LESSOR** shall have the right to terminate / cancel this contract, without incurring any liability, by giving written notice to the **LESSEE** at least ninety (90) days before the intended date of termination. . Should the reason for the termination / cancellation be without any fault or omission on the part of the **LESSEE**, the security deposit given by the **LESSEE** shall be refunded to the **LESSEE** as provided herein.

TAXES

37. Except for the withholding tax, any and all taxes which may be payable arising out of this Contract, such as, but not limited to the value added tax, shall be for the account of the **LESSEE**.

VENUE OF ACTION

38. It is understood that all legal actions that may be brought on or by virtue of this contract shall be in the proper courts of Pasig, to the exclusion of all other venue.

ALTERATIONS, MODIFICATIONS, NOVATIONS OF CONTRACT

39. This Contract embodies all the agreements of the parties covering the properties subject hereof. No alteration, modification, novation, addition or any collateral agreement which alters, modifies, novates and adds to the terms of this Contract shall be valid and binding unless made in writing signed by the parties hereto. It is agreed that in case any provision of this Contract is declared null and void by a court of competent jurisdiction, the remaining provision shall remain and continue to be valid on the parties.

ACCEPTANCE AND GUARANTEE

40.1 Acceptance of the foregoing terms and conditions shall be evidenced by the **LESSEE's** signature on the space provided for below of this document and by his marginal signatures on each and every page hereof. If the **LESSEE** is a corporation, it hereby undertakes that the performance of all obligations under this Contract or any amendment, extension or renewal thereof shall be jointly and solidarily guaranteed by the directors, officers and principal stockholders of the **LESSEE**. For this purpose, the **LESSEE** shall submit to the **LESSOR** upon the execution of this contract the names of the **LESSEE's** directors, officers and stockholders and the joint and solidary guarantee' required of them under this Section. In the event of any change in the directors and stockholders of the **LESSEE**, then the **LESSEE** shall submit to the **LESSOR** the names of the new directors and stockholders and their respective joint and solidary guaranty in favor of he **LESSOR**, without prejudice to the right of the **LESSOR** to terminate this Contract by reason of the change in stockholders such as when the principal stockholder(s) or owner(s) of the **LESSEE** (when organized as corporation and partnership) on the date hereof shall have changed or shall have ceased to own control a majority of shares or interest in the **LESSEE**, whether through voluntary disposition, merger, consolidation, restructuring, bankruptcy, liquidation or otherwise, and the new principal stockholder(s) or owner(s) controlling the **LESSEE** shall not be acceptable to the **LESSOR**, or the **LESSOR** shall be unwilling to continue the lease with the **LESSEE**, as owned or controlled by such new stockholder(s) or owner(s) for any reason.

40.2 **Mutual Warranties** – The **LESSOR** and the **LESSEE** represent and warrant in favor of each other that:

a) each has full power, authority and legal right to execute, deliver and perform this Contract and has taken all the necessary corporate action to authorize the foregoing;

b) this Contract constitutes the legal, valid and binding obligation of the **LESSOR** and the **LESSEE**, enforceable in accordance with its terms; and

c) the execution, delivery and performance of this Contract do not and will not violate any provision of, or result in a breach of or constitute a default under any law, regulation or judgment, or violate any agreement binding upon either of them or any of their property.

PROHIBITION ON SOLICITATION OF GIFTS

41. The **LESSEE** represents and warrants that it has not granted and it will not grant any material favor or offer any gift of a substantial amount, whether in cash or in kind, to any RLC employee for whatever reason or purpose. Furthermore, the **LESSEE** undertakes to immediately report to RLC's BU GM any such employee soliciting such favors or gifts, in consideration of or as reward for this Contract or for any other purpose. A violation of this representation and/or warranty shall be considered as a material breach on the part of the **LESSEE** and shall entitle RLC, at its discretion, to terminate this Contract in which case the **LESSOR** shall be entitled to all remedies available herein .

OTHER PROVISIONS
CONFIDENTIALITY
42. The Lessee hereby recognizes and agrees that the contents of this Contract, including all the attachments, as well as all documents including Lease Proposals, Lease Renewals, billings, letters and communications between LESSOR and LESSEE are to be deemed as confidential and may not be disclosed, shared or submitted to any other party or third person without the express written consent of the LESSOR.

ROBINSONS LAND CORPORATION
LESSOR

By:
MS. JORETTA PIMENTEL - JARDELEZA

MS. SOCORRO D.L. ALVAREZ
Treasury Director

MARY GRACE FOODS INC.
LESSEE

By:
MR. ADRIAN DIMACALI
Director

In My/Our Personal Capacity/ies

ACKNOWLEDGMENT:

REPUBLIC OF THE PHILIPPINES)
CITY OF _____) S.S.

BEFORE ME, a Notary Public for and in the City of Quezon, this _____personally appeared.

NAME	TYPE OF GOVERNMENT ISSUED ID	ID NO.
ROBINSONS LAND CORP.	**TIN**	**361-376-000**
MS. JORETTA PIMENTEL - JARDELEZA	**TIN**	**121-854-546**
MS. SOCORRO D.L. ALVAREZ	**TIN**	**175-884-602**
MARY GRACE FOODS, INC.	**TIN**	
MR. ADRIAN DIMACALI	**TIN**	

All known to me and to me known to be the same persons who executed the foregoing Contract of Lease and they acknowledged to me that the same is their own free and voluntary act and deed.

WITNESS MY HAND AND SEAL.

Notary Public
Doc. No. _____:
Page No. _____:
Book of _____:
Series of _____: